

Technical Advantages Often Absent. During 1928–1929, when trading in warrants was most active, there was a tendency for these instruments to sell at high levels, both relatively and absolutely, so that they could not be said to possess any technical advantage over the typical common stock. During the ensuing depression many warrant issues were obtainable at very low prices, but here again the related common shares were also quoted so low as to call into question the comparative attractiveness of the warrant. The situation at the close of 1939 may be illustrated by the representative list of warrants shown in the table below.

It is to be noted that the warrants carrying the right to make payment by turning in a bond or preferred issue at par were generally selling at an interesting price in relation to the common stock. (The Electric Power and Light warrants were actually quoted below parity.) The other low-priced warrants seemed too far away from realizable value to merit attention. The Baldwin Locomotive and New York City Omnibus price relationships are typical of their respective stages in the scale of market values.⁶

Name of corporation issuing warrant	Duration	Purchase price of stock named in warrant	Market price of stock	Market price of warrant
American & Foreign Power	Perpetual	25 or $1\frac{5}{8}$ *	$1\frac{7}{8}$	$\frac{3}{8}$
Atlas Corp.	Perpetual	25 or $23\frac{5}{8}$ *	$8\frac{5}{8}$	$\frac{7}{8}$
Baldwin Locomotive Co.	To Sept. 1, 1945	15	$17\frac{1}{4}$	$7\frac{3}{8}$
Electric Power & Light Corp.	Perpetual	25 or 4*	$6\frac{7}{8}$	$2\frac{5}{8}$
Manati Sugar Co.	To Nov. 5, 1947	$12\frac{1}{2}$ or 5*	$3\frac{7}{8}$	$\frac{5}{8}$
Merritt-Chapman & Scott Corp.	Perpetual	30	$4\frac{1}{2}$	$\frac{1}{2}$
N.Y. City Omnibus Corp.	To Mar. 1, 1947	$17\frac{1}{2}$	$32\frac{3}{4}$	$17\frac{1}{4}$
Scullin Steel Co.	To May 1, 1942	10 or $6\frac{1}{2}$ *	$8\frac{3}{4}$	$3\frac{1}{2}\dagger$
Tri-Continental Corp.	Perpetual	$22\frac{1}{2}$	$2\frac{3}{4}$	$\frac{1}{2}$
United Corp.	Perpetual	25	$2\frac{3}{8}$	$\frac{1}{4}$

* Cost in terms of current price of senior securities tenderable in lieu of cash.

† Market price of 4 warrants, equivalent to 1 share of common.

⁶ For an effort towards a mathematical formulation of the value of warrants see John B. Williams, *The Theory of Investment Value*, pp. 172–178, Harvard University Press, 1938.